ECON 1550: International Finance
Spring 2026

Lecture: MWF 2pm-2:50pm in MacMillan Hall 115
Instructor: Prof. Fernando Duarte (fernando_duarte@brown.edu)
Office Hours: Mon 3pm-4pm in Macmillan 115, Fri 12pm-1pm in 70 Waterman 309, or by appointment

Head TA: Leo Zucker (leo_zucker@brown.edu)
Office Hours: Wed 3pm-3:45pm in Sayles 205, Wed 5:45pm-7pm in Alumnae Hall 212 (but check 103 (Commons) before 6PM)

Undergraduate TAs:

Name	Email	Day / Time	Type	Location
Eric Kim	eric_w_kim@brown.edu	Wed 12pm-1pm	Section	Salomon 003
		Wed 1pm-2pm	Office hours	Salomon 003
Raisa Axenie	raisa_axenie@brown.edu	Tue 4pm-5pm	Section	Salomon 203
		Wed 4pm-5pm	Office hours	Sayles 205
Nathalie Peña	nathalie_pena@brown.edu	Mon 5pm-6pm	Section	Friedman Hall 102
		Mon 4pm-5pm	Office hours	Friedman Hall 102

Note: On March 9, Nathalie's office hours are 4:30–5:00 PM in Friedman Hall 202 and section is in Friedman Hall 202. On March 16, Nathalie's office hours and section are in Friedman Hall 101, usual time.

Canvas Website: https://canvas.brown.edu/courses/1101477

Course Description

This course is an introduction to open-economy Macroeconomics and International Finance. We will discuss how opening the economy to exports, imports and financial flows influences interest rates, output, inflation, and other macroeconomic variables. We will study the determination of exchange rates and implications of different open-economy policies, including managed exchange rates and tariffs.

Learning Goals

By the end of this course, you will understand the fundamental concepts of International Macroeconomics and current international economics events and policies. On completion of this course, I am confident you will be able to:

- Have a coherent mental framework that allows you to understand real-world international macroeconomic events and associated government policies for the rest of your life.
- Know what the current account and the balance of payments accounts are, how they relate to each other, and how they extend national income accounting to open economies.
- Explain to a non-economist what exchange rates are and why they are important.
- Appreciate the complexity and usefulness of the global foreign exchange market together with its limitations and vulnerabilities.
- Apply the interest parity condition and the purchasing power parity theory of exchange rates to find equilibrium exchange rates.
- Relate shifts in interest rates, market expectations of future exchange rates, and risk premia to current exchange rates.
- Assess the risk-return tradeoff of carry trades; link risks to their economic sources; understand the concept of arbitrage.
- Outline the relationship between the short-run and the long-run effects of monetary policy, and how this relationship gives rise to exchange rate overshooting.
- Develop intuition for the connection between a central bank's foreign currency reserves, its purchases and sales in the foreign exchange market, and the money supply.
- Critically assess the benefits, applicability and limitations of different exchange rate regimes, exchange rate interventions and capital controls.
- Compare the gold standard to fiat money.
- Determine joint equilibrium outcomes in asset and goods markets using diagrams and equations.
- Understand and evaluate the effectiveness of current events in international economics, including changes in tariffs, the depreciation of the dollar, and the increase in uncertainty.

Prerequisites

The only prerequisite is ECON 1210. This course is intended for intermediate and advanced undergraduates. The level of mathematics required is more demanding than for ECON 1210 and the entire class is math-based. Calculus is not used.

Key Dates

Assignment	Date
Midterm 1	Wednesday, March 4
Midterm 2	Wednesday, April 15
Final Exam	Tuesday, May 12

Course Materials

- **Required Textbook:** *International Finance: Theory and Policy* by Paul R. Krugman, Maurice Obstfeld, Marc J. Melitz, 11th edition (ISBN: 9780134519548).

The *International Economics: Theory and Policy* book by the same authors contains the same material and, in addition, chapters on international trade that we will not need in this course.

Lectures and Sections

Lecture led by Professor Fernando Duarte is on Mondays, Wednesdays, and Fridays 2pm-2:50pm in MacMillan Hall 115.

Weekly 50-minute discussion sections are led by undergraduate TAs. You only need to attend one of the three available sections, as they all cover the same material. Attending lectures and sections is highly encouraged (although there is no grade penalty for non-attendance).

Course Elements

Ungraded Readings

Readings are neither graded nor tracked, but should be completed before the due date listed on Canvas.

Problem Sets

There are 9 problem sets. They can be found in Assignments on Canvas. Problem sets are due on Wednesdays at 11:59pm ET. The two lowest problem set scores are automatically dropped.

Please submit your problem sets through **Gradescope**. If you find yourself having issues with the submission interface very close to the submission deadline, email your work to the Head TA before the deadline to ensure that your assignment is considered on time.

- Full credit for problem set questions will be awarded if the answer is correct and is accompanied by adequate reasoning or explanation.
- Partial credit will be awarded if the answer is partially correct or if the answer is incorrect but your reasoning or explanation is correct or partially correct.

You can discuss problem sets with classmates and work in teams. Talking economics with people around you is a key component of learning economics. However, you must write and understand your own answers and not allow classmates to copy the final answers from your problem set. A direct implication is that word-for-word identical problem sets are not allowed and will receive a score of zero in addition to any other disciplinary consequences.

Late Policy

Problem sets must be completed by the deadline. If you turn in a problem set after the deadline or do not complete the assignment at all, you get a score of zero. There are no extensions.

Midterm Exams

There will be two 50-minute midterms during class time in MacMillan Hall 115. The schedule is:

Midterm	Date	Time	Location
#1	Wednesday, March 4	2pm-2:50pm	MacMillan Hall 115
#2	Wednesday, April 15	2pm-2:50pm	MacMillan Hall 115

External materials are not allowed: you can't use notes, formula sheets, calculators, etc. After you hand in your midterm, we will upload it to Gradescope and, once graded, you will be able to see your grade there.

If you must miss a midterm and want to schedule a make-up midterm, you must contact the Head TA as soon as possible and provide a letter from the Dean.

We will provide a practice midterm exam at least one week before the actual midterm takes place. The practice exam will be like the actual exam and is designed to help you prepare. Doing this practice exam is optional and will not be graded.

There will be no sections in the weeks of midterms. We will instead schedule a review session (not necessarily at the same time and place as regular sections).

Final Exam

The final exam will be on **Tuesday, May 12 at 2pm (Exam Group 07)**. Please note that although Exam Group 07 has 3 hours allocated to the final exam period, **this course's final is 2 hours**. Always verify the final exam date and time in Courses@Brown, since exam group assignments and logistics can occasionally change.

The final exam is cumulative and covers all the content of the course. External materials are not allowed: you can't use notes, formula sheets, calculators, etc. After you hand in the final exam, we will upload it to Gradescope and, once graded, you will be able to see your grade there.

We will provide a practice final exam at least one week before the actual final takes place. To help you prepare for the final exam, we will offer a review session and extra office hours.

Grading Policy

Your course grade will be determined by problem sets, two midterms, and a final exam.

Letter Grade for the Course

Your "total course score" is computed using the following formula:

$$\text{total course score} = \max\left[\text{entire semester score, final exam score}\right]$$

The "entire semester score" is a number between 0 and 100 that is computed by taking a weighted average of your score in all the course elements according to the following weights:

Component	Weight
Problem sets	30%
Midterm 1	20%
Midterm 2	20%
Final exam	30%

Your "final exam score" is the numerical score that you get in your final exam. It is also a number between 0 and 100.

The "total course score" is converted to a final letter grade under the following guarantees:

Score	Grade
90% or higher	A
80% to $< 90\%$	B
70% to $< 80\%$	C

If you take the class S/NC, your final grade will be converted as follows: A converts to S_DIST; B or C convert to S; otherwise NC.

The cutoffs in the table above give the lowest grade you can receive. For example, if your total course score is 91%, you automatically get an A. If your total course score is 87%, you are guaranteed a B or better. Prof. Fernando Duarte decides the cutoffs that determine your actual letter grade (rather than the cutoffs that guarantee a minimum letter grade given in the table above) at the end of the semester, always respecting the guarantees above.

Re-grade Policy

If you disagree with the grading of problem sets, midterms, or the final exam, you may submit a regrade request through Gradescope within 7 days. Please include a clear description of what the grading error is, why you think the grade should be different, and the number of points you are requesting. During a re-grade, the entire problem set or exam may be re-graded (and the score may go up or down).

Grading Framework

Sometimes, there are unforeseen adverse circumstances that are out of your control. You should not be punished with a lower grade for these unfortunate circumstances. The grading policy of dropping two problem sets is designed to provide you with some degree of insurance against these unforeseen situations.

If you are going to miss 3 or more problem sets, then contacting the Head TA with a Dean's note is appropriate, and we will work with you to find a good way forward that works for you and is fair to your classmates. The earlier you can contact us, the more we can do to help. Please don't contact us if you will only be missing one or two problem sets, even if you have good reasons to miss them, or even a Dean's note.

If you are going to miss the final exam, then a letter from the Dean is required before the exam takes place. University rules prevent any exceptions.

If you find yourself facing ongoing challenges that are serious enough to impact your performance for an extended period, it is also appropriate at that point to get a Dean's note and contact the Head TA. If for any reason you find yourself lost, we would rather know about it early, so we can work together to strategize about providing you extra support if needed. There is little I can or will do about exam performance after an exam is graded. Come to office hours, go to sections, ask for help. The course staff wants you to succeed and is here to help you do so.

Course Feedback

At any point after the shopping period ends (February 3), you may submit feedback through the Google form linked on Canvas. You are not required to provide your name or email but may elect to do so if you would like a response or would like the course staff to know you are the person leaving the comment. A mid-semester anonymous survey will also be available on Canvas after the first midterm.

Ed Discussion

Ed Discussion is a discussion board where you can—and should—post questions or comments that other students and TAs can respond to. There will be a short delay in responses to encourage classmates to answer questions first.

Accommodations

Brown University and this course are committed to full inclusion of all students. Students who, by nature of a documented disability, require academic accommodations should contact Professor Fernando Duarte at the beginning of the term (or as early as possible) and consult Student Accessibility Services (SAS) at 401-863-9588 or SAS@brown.edu. Further information about ensuring accessibility and supporting students with disabilities may be found on the SAS website. Approved accommodations supersede course policies (e.g., deadlines, exam timing).

Financial Aid

If your Brown undergraduate financial aid package includes the Book/Course Material Support Pilot Program (BCMS), concerns or questions about the cost of books and course materials for this or any other Brown course can be addressed to bcms@brown.edu. For all other concerns related to non-tuition course-related expenses, irrespective of your Brown undergraduate financial aid package including BCMS, please visit E-Gap Funds to determine options for financing these costs, while ensuring your privacy.

Academic Integrity

Your conduct in this course is formally governed by the Brown Academic Conduct Code. Neither the University nor I will tolerate cheating or plagiarism. The consequences for plagiarism are often severe, and can include failing the course, suspension, or expulsion.

Generative AI Policy: Generative AI (including large language models like ChatGPT, Claude, and Gemini) is discouraged for problem sets. If you choose to use such tools, the same policies that apply to working with classmates must be followed: you must write up and understand your own answers yourself, and copying generated text or answers, even fragments, is not allowed and will result in disciplinary consequences. There is no need to disclose whether you used any generative AI tools.

Community Standards

It is my aim that students from diverse backgrounds are valued in this course, and that the diversity that students bring to this class in all its dimensions, including gender, sexuality, disability, age, socioeconomic status, ethnicity, race, and culture, is accepted, respected, and viewed as a valuable benefit for our personal growth and academic enrichment. Some portions of this course can become discussion-based. Economic discussions can sometimes grow political, ideological, or contentious. All students and the instructor must be respectful of others in the classroom and create an inclusive and welcoming environment that is conducive to free discussions and passionate debates. If you ever feel that the classroom environment does not live up to the standards described above, or is problematic in any other way, please contact Prof. Fernando Duarte or the Head TA right away.

Reading Period

This course observes the reading period, which begins on Friday, April 24. The last lecture is on Wednesday, April 22. There will be no new material taught and no assignments due on or after Friday, April 24.

Expectation of Time Spent

Activity	Time Calculation	Total
Class time	50 min per class × 36 classes	30 hours
Discussion sections	50 min per week × 10 weeks	8 hours
Reading, reviewing, homework, studying	8 hours per week × 13 weeks	104 hours
Final exam	2 hours	2 hours
Final exam review	14 hours	14 hours
Total		**158 hours**

Distribution of Materials

Please leave your cellphones in your bags or pockets during class. Taking photos or videos during class is not permitted. Lectures and other course materials are copyrighted unless otherwise explicitly stated. Students are prohibited from reproducing, making copies, photographing, taking screen shots, recording videos, publicly displaying, selling, or otherwise distributing any of the course materials. The only exception is that students with disabilities may have the right to record for their private use if that method is determined to be a reasonable accommodation by Student Accessibility Services. Disregard of the University's copyright policy and federal copyright law is a Student Code of Conduct violation.

Tentative Course Outline

The numbers in the reading column refer to pages in the textbook (*International Finance: Theory and Policy*, 11th edition, ISBN: 9780134519548).
Problem sets (PS) are due on Wednesdays at 11:59pm ET.

Week	Date	Topic	Reading	Due
1	Wed 1/21	A Tour of the Class		
	Fri 1/23	Models in Economics	Notes	
2	Mon 1/26	*Weather advisory–class canceled*		
	Wed 1/28	Macro refresher: IS-LM-PC		
	Fri 1/30	Macro refresher: IS-LM-PC	Review	
3	Mon 2/2	The National Income Accounts National Income Accounting for an Open Economy	13–15 16–23	
	Tue 2/3	*Shopping period ends*		
	Wed 2/4	The Balance of Payments Accounts	24–35	PS1
	Fri 2/6	Exchange Rates and International Transactions The Foreign Exchange Market	41–43 44–49	
4	Mon 2/9	The Demand for Foreign Currency Assets	50–58	
	Wed 2/11	Equilibrium in the Foreign Exchange Market	59–65	PS2
	Fri 2/13	Case Study: What Explains the Carry Trade?	65–67	
5	Mon 2/16	*Long weekend (no class)*		
	Wed 2/18	Money Defined: A Brief Review The Demand for Money by Individuals Aggregate Money Demand The Equilibrium Interest Rate: The Interaction of Money Supply and Demand	77–78 79–80 81–82 83–86	PS3
	Fri 2/20	The Money Supply and the Exchange Rate in the Short Run	87–91	
6	Mon 2/23	Money, the Price Level, and the Exchange Rate in the Long Run Inflation and Exchange Rate Dynamics Case Study: Can Higher Inflation Lead to Currency Appreciation? The Implications of Inflation Targeting	92–95 96–104 104–105	
	Wed 2/25	The Law of One Price Purchasing Power Parity A Long-Run Exchange Rate Model Based on PPP	112 113–114 115–120	PS4
	Fri 2/27	Review for midterm		
7	Mon 3/2	Empirical Evidence on PPP and the Law of One Price Explaining the Problems with PPP Case Study: Why Price Levels Are Lower in Poorer Countries	121–122 123–128 128–130	
	Wed 3/4	**Midterm 1**		**EXAM**

Week	Date		Topic	Reading	Due
	Fri	3/6	Beyond Purchasing Power Parity: A General Model of Long-Run Exchange Rates	131–138	
8	Mon	3/9	International Interest Rate Differences and the Real Exchange Rate Real Interest Parity Appendix to Chapter 5 The Fisher Effect, the Interest Rate, and the Exchange Rate under the Flexible-Price Monetary Approach	139 140 146–148	
	Wed	3/11	Determinants of Aggregate Demand in an Open Economy The Equation of Aggregate Demand How Output Is Determined in the Short Run	150–152 153–154 155	PS5
	Fri	3/13	Output Market Equilibrium in the Short Run: The DD Schedule Asset Market Equilibrium in the Short Run: The AA Schedule	156–160 161–163	
9	Mon	3/16	Short-Run Equilibrium for an Open Economy: Putting the DD and AA Schedules Together	164–165	
	Wed	3/18	Temporary Changes in Monetary and Fiscal Policy Inflation Bias and Policy Problems	166–169 170–171	PS6
	Fri	3/20	Permanent Shifts in Monetary and Fiscal Policy	172–174	
		3/21	*Spring Break (3/21–29)*		
10	Mon	3/30	Macroeconomic Policies and the Current Account Gradual Trade Flow Adjustment and Current Account Dynamics	176 177–180	
	Wed	4/1	Why Study Fixed Exchange Rates? Central Bank Intervention and the Money Supply	197–201 202–204	PS7
	Fri	4/3	How the Central Bank Fixes the Exchange Rate	202–204	
11	Mon	4/6	Stabilization Policies with a Fixed Exchange Rate	205–209	
	Wed	4/8	Balance of Payments Crises and Capital Flight	210–212	PS8
	Fri	4/10	Internal and External Balance	Notes	
12	Mon	4/13	Review for midterm		
	Wed	4/15	**Midterm 2**		**EXAM**
	Fri	4/17	Internal and External Balance	Notes	
13	Mon	4/20	The Latin Triangle	Notes	
	Wed	4/22	The II-XX Model Environmental Sustainability	Notes Notes	PS9
	Fri	4/24	*Reading period begins*		
14	Tue	5/5	*Reading period ends*		
	Tue	5/12	**Final Exam: 2:00pm**		**EXAM**

Last modified: February 10, 2026